

packs of cigarettes. How much did the couple pay for these cigarettes? Approximately \$33,190—more than the purchase price of their home! They never considered how much it cost to purchase cigarettes. They viewed such purchases as small expenses. But small expenses become big expenses over time. Small amounts invested periodically also become large investments over time.

What if the Friends had invested their cigarette money in the stock market (index fund) during their lifetimes? How much would it have been worth? Nearly \$100,000. And what if they had used their cigarette money to purchase shares in a tobacco company? What if they had purchased, reinvested all dividends, and never sold shares in Philip Morris instead of smoking Philip Morris products for forty-six years? *At the end of forty-six years, the couple would have had a tobacco portfolio worth over \$2 million.* But the couple, like their son, never imagined that “small change” could be transformed into significant wealth.

This change in behavior alone would have placed the Friends in the millionaire category. They would have been members of the PAW group, too, given their modest income. Perhaps they would have lived differently if someone had educated them about the mathematics of wealth appreciation. No one told them about this phenomenon. So it is not surprising that they failed to educate their son about the benefits of investing. But they did tell him not to smoke. His dad told him, “Don’t ever put the first cigarette in your mouth. I’m hooked. There is nothing I can do to quit.” His son followed this advice.

KICKING THE UAW HABIT

How long will Mr. Friend be able to fund his lifestyle? What if he were to stop working today? How long could he live off his current level of wealth? Only for about a year! No wonder he works so hard. Given his current circumstances, Mr. Friend will never be able to retire in comfort. In spite of being nearly fifty years of age, he has yet to figure this out for himself. But all is not hopeless. Mr. Friend can still become an accumulator of wealth.

We find that it is often useful for UAWs to be told the naked truth: *“Friend, you’re worth less than one-half of the expected amount for those in your income group.”* Such news can spur on UAWs who are competitive. How do they respond when told that their net worth places